

Falcon Distribution — v2 (revised)

Investment / Sales Offering Memorandum | Indianapolis, IN | Industrial

As of 2026-09-01 (revised certified roll) | Prepared from packet sources only

Supersedes v1 dated 2026-08-31. v1 preserved in audit archive.

Source-backed analysis. Assumptions remain subject to diligence.

What changed (v1 → v2)

Per **revision-notice.pdf (2026-09-01)**: (1) the revised certified roll supersedes the prior roll — **Suite 002 monthly rent increased by \$225** to \$14,825; all other lease details unchanged; the executed Suite 001 amendment continues to apply. (2) The **initial sizing rate is raised 75 bps** to 7.75%. (3) The **capitalization rate is raised 25 bps** to 6.5000%. Payoff, closing costs, origination percentage, LTV/DSCR/DY limits, expenses, reserves, and note rate are unchanged. The approved copy is preserved verbatim.

Field	v1	v2	Δ
Suite 002 monthly rent	\$14,600.00	\$14,825.00	+\$225.00 / mo
Selected roll date	2026-08-31	2026-09-01	+1 day (revised roll)
Sizing rate	7.00%	7.75%	+75 bps
Cap rate	6.2500%	6.5000%	+25 bps
GPR	\$1,401,900	\$1,404,600	+\$2,700
Annual in-place rent (active × 12)	\$1,227,600	\$1,230,300	+\$2,700
UW EGI	\$1,334,605	\$1,337,170	+\$2,565
UW NOI (pre-reserve)	\$901,782.85	\$904,270.90	+\$2,488.05
UW NCF	\$899,382.85	\$901,870.90	+\$2,488.05
Capitalization value	\$14,428,525.60	\$13,911,860.00	\$-516,665.60
Maximum loan (binding)	\$9,012,270 (DSCR)	\$8,392,476 (DSCR)	\$-619,794
Net cash-out	\$1,077,147	\$463,551	\$-613,596

Direction of change: the \$225/mo Suite 002 rent bump adds modestly to NOI/NCF, but the higher cap rate compresses value and the higher sizing rate widens the debt constant — both trim the DSCR-constrained loan. Net cash-out remains positive; no refinance shortfall.

Executive summary

Falcon Distribution is an 8-suite, **176,060 SF** industrial asset in Indianapolis. Per the **revised certified rent roll as of 2026-09-01**, **7 suites are active** and Suite 008 remains vacant → **87.50% unit and 87.50% area occupancy** (unchanged). All active leases run through 2029-08-31; no rollover within 12 months. Trailing-12-month reported NOI is **\$869,736** (historical is not restated by the revision).

Applying the revised roll and unchanged expense conventions: **EGI \$1,337,170**, **NOI (pre-reserve) \$904,271**, **NCF \$901,871**. Capitalized at the revised **6.5000%** → **Value \$13,911,860**. Sizing at the revised **7.75%** (floor still binding vs. 6.10% note rate) over 30-yr monthly amortization produces **Maximum loan \$8,392,476**, with **DSCR the binding constraint**. After \$7.8M payoff, \$45K closing, and 1% origination (~\$83,925), **net cash-out is +\$463,551** — reduced from v1 but still positive.

Deal snapshot (v2)

Field	Value	Source
Asset type	Industrial (multi-suite distribution)	manager-cover.pdf
Market	Indianapolis, IN	manager-cover.pdf
Total units / suites	8	rent-roll-revised.xlsx
Total area (SF)	176,060	rent-roll-revised.xlsx
Occupied units (revised)	7 (active); 1 vacant	rent-roll-revised.xlsx
Unit / Area occupancy	87.50% / 87.50%	rent-roll-revised.xlsx
Annual in-place rent (revised, active × 12)	\$1,230,300	rent-roll-revised.xlsx
Historical reported T12 NOI	\$869,736	operating-statement.pdf
Underwritten NOI (before reserves)	\$904,270.90	computed
Cap rate / Capitalization value	6.5000% / \$13,911,860.00	revision-notice.pdf; computed
Sized maximum loan (DSCR binding)	\$8,392,476	computed
Net cash-out to sponsor	\$463,551	computed

Property and unit / suite mix (unchanged)

Unit counts, areas, and group mapping are unaffected by the revision. Per the manager cover note, A/B/C correspond in order to Small / Standard / Large suites.

Group	Type	Total units	Occupied units	Total SF	Comment
A	Small suite	3	3	65,640	Suites 001, 004, 007 — all active
B	Standard suite	3	2	66,000	Suites 002, 005; 008 vacant
C	Large suite	2	2	44,420	Suites 003, 006 — both active
Total		8	7	176,060	Revised certified detail controls

Manager headline conflict persists. The manager cover states "7 of 8 leased" by counting pending occupants as leased. The revised certified detail shows 7 active + 1 vacant with no pending — same pattern as v1. Certified detail continues to control physical occupancy; the classification bias remains flagged as a risk.

Lease and occupancy analysis (v2)

Metric	Value	Source
Selected rent roll date	2026-09-01 (revised certified)	rent-roll-revised.xlsx (B2)
Total units / occupied / vacant / pending	8 / 7 / 1 / 0	rent-roll-revised.xlsx
Total area / occupied area	176,060 SF / 154,060 SF	rent-roll-revised.xlsx
Unit occupancy	0.8750	computed
Area occupancy	0.8750	computed
In-place monthly rent (active suites, revised)	\$102,525.00	rent-roll-revised.xlsx
Annual in-place rent (active × 12, revised)	\$1,230,300	rent-roll-revised.xlsx
Suite 001 in-place monthly rent (executed)	\$14,450.00	lease-001.pdf; rent-roll-revised.xlsx
Suite 002 in-place monthly rent (revised)	\$14,825.00	rent-roll-revised.xlsx (change +\$225)
Next 12-month rollover	None — all active leases expire 2029-08-31	rent-roll-revised.xlsx
Free-rent concessions in effect	None per lease-001 dated language	lease-001.pdf
Unsigned rent-change proposals	None in the packet; revision delivered via signed manager pdf	lease-correspondence

The revised certified roll (effective 2026-09-01) supersedes the 2026-08-31 certified roll. The 2026-06-30 archive roll and the 2026-08-31 certified roll remain in the audit trail. The Suite 002 rent change is delivered through the manager's revised certified roll — a signed manager document — and is not an unsigned proposal.

Historical vs. underwritten financials (v2)

Historical T12 (through 2026-08-31) is not restated by the revision. Underwriting reflects the revised roll and higher cap rate.

Line	Historical T12	Underwritten (v2)	Delta	Definition
Collections / EGI	\$1,262,520	\$1,337,170	\$74,650	Historical = cash collections. UW = GPR – 5% loss
Real estate tax	\$147,294	\$147,294	\$0	Prescribed = historical.
Insurance expense	\$49,098	\$49,098	\$0	Prescribed = historical.
Other recurring opex	\$196,392	\$196,392	\$0	Prescribed = historical.
Management fee	\$0	\$40,115.10	\$40,115.10	None booked historically; UW = 3% × EGI.
NOI (before reserves)	\$869,736	\$904,270.90	\$34,534.90	Historical is cash-basis. UW is scheduled-basis on r
Replacement reserves	\$0	\$2,400.00	\$2,400.00	Not booked historically; UW = \$300/unit.
NCF (after reserves)	unknown (not reported)	\$901,870.90	n/a	Historical NCF is not reported — explicitly unknown.

The ledger classification finding is unchanged: operating-statement.pdf shows the roof replacement was NOT booked in repairs (line = \$0) — capital was capitalized separately.

Underwriting build (v2, prescribed method)

Line	Value	Basis
Gross Potential Rent (GPR)	\$1,404,600	All-suite scheduled × 12 on REVISED roll, before Suite 001 amendm
Economic loss (5%)	(\$70,230)	5% × GPR
Other income	\$2,800	\$350 × 8 units
Effective Gross Income (EGI)	\$1,337,170	GPR – loss + other; reimbursements already in GPR
Real estate tax	(\$147,294)	Prescribed
Insurance	(\$49,098)	Prescribed
Other recurring opex	(\$196,392)	Prescribed
Management fee	(\$40,115.10)	3% × EGI
Total operating expenses	(\$432,899.10)	Sum
NOI (before reserves)	\$904,270.90	EGI – opex
Replacement reserves	(\$2,400.00)	\$300 × 8 units
Net Cash Flow (NCF)	\$901,870.90	NOI – reserves
Cap rate	6.5000%	REVISED — prior 6.2500% + 25 bps
Capitalization value	\$13,911,860.00	NOI (pre-reserve) ÷ cap rate

Debt sizing and sources / uses (v2)

Sizing rate is the greater of the note rate (6.10%) and the underwriting floor (now **7.75%** after the +75 bps revision). Floor remains binding. Annual debt constant at 7.75%, 30-yr monthly, is **0.085969** per \$1 of loan (v1 was 0.079836 at 7.00%). Each of the three tests is computed independently; the sized loan is the minimum.

Test	Formula	Value	Note
LTV cap	$LTV \times \text{cap value}$	\$9,042,709	$65\% \times \$13,911,860$
DSCR cap	$NCF \div (DSCR \times \text{annual constant})$	\$8,392,476	$\$901,871 \div (1.25 \times 0.085969)$
Debt-yield cap	$NCF \div DY$	\$10,020,788	$\$901,871 \div 9\%$
Maximum loan	MIN of the three	\$8,392,476	DSCR binding (unchanged)

Diagnostic at sized loan	Value
DSCR at sized loan	1.25×
LTV at sized loan	60.33%
Debt yield at sized loan	10.75%

Sources & uses (v2)

Sources	Amount	Uses	Amount
Sized loan	\$8,392,476	Existing loan payoff	\$7,800,000
Sponsor equity	\$0	Closing costs	\$45,000
		Origination fee (1%)	\$83,925
		Cash to sponsor (positive net cash-out)	\$463,551
Total sources	\$8,392,476	Total uses	\$8,392,476

Net cash-out = \$463,551 (positive). Sponsor still receives cash at close; no additional equity required. Reduction of \$613,596 vs. v1 is driven primarily by the higher sizing rate (tighter DSCR cap) and the higher cap rate (lower capitalization value, but LTV was not the binding test in either version).

Risks and missing diligence (v2)

All risk polarities are unchanged from v1. Bases updated where the revision affects them.

Risk field	Flag	Evidence & basis
risk_pending_in_occupancy	present	manager-cover.pdf p.1 headline still counts pending as leased ("7 of 8"); revised certified
risk_near_term_rollover	absent	rent-roll-revised.xlsx F5:F12 — all leases expire 2029-08-31, > 12 months from 2026-09
risk_missing_insurance	absent	insurance.pdf p.1 — GL policy declaration present (unchanged).
risk_capital_in_opex	absent	operating-statement.pdf p.1 — "Roof replacement booked in repairs: 0" (unchanged hist
risk_unsigned_rent_change	absent	The Suite 002 rent change is delivered via the revised certified rent roll — a signed man
risk_temporary_free_rent	absent	lease-001.pdf p.1 — "No free-rent concession applies as of the evaluation date" (unchar
risk_sizing_floor_binding	present	Note rate 6.10% < revised floor 7.75%; sizing is at the floor. Gap widened from 90 bps to
risk_refinance_shortfall	absent	Debt sizing produces net cash-out of \$463,551 (positive) > \$0 → no shortfall.

Diligence status (routine open items, unchanged)

Per diligence-status.pdf, legal, environmental, property-condition, and title reviews remain routine open diligence. The packet provides **no evidence** of contamination, litigation, fraud, or structural failure, and we do not assert any such findings. Photos, asking price, market sales/rent comps, and sponsor history are not supplied and are labeled unknown, not invented.

Items not supplied (unchanged — explicitly unknown, not zero)

Item	Status
Property photos	not supplied
Asking price / whisper price	not supplied
Market sales comps	not supplied
Market rent comps	not supplied
Sponsor track record / bio	not supplied
Historical NCF (after reserves)	not reported in operating statement

Reconciled field report — v1 vs v2

Ratios reported as decimals. Peach highlight indicates a change from v1.

Field	v1	v2	Unit	Evidence · location
total_units	8	8	count	rent-roll-revised.xlsx · A5:A12
occupied_units	7	7	count	rent-roll-revised.xlsx · D5:D12
pending_units	0	0	count	rent-roll-revised.xlsx · D5:D12
total_area_sf	176,060	176,060	SF	rent-roll-revised.xlsx · C5:C12
occupied_area_sf	154,060	154,060	SF	rent-roll-revised.xlsx · C5:C12,D5:D12
unit_occupancy	0.8750	0.8750	decimal	computed
area_occupancy	0.8750	0.8750	decimal	computed
annual_in_place_rent	\$1,227,600	\$1,230,300	USD/yr	rent-roll-revised.xlsx · E5:E12 filtered active
unit_001_monthly_rent	\$14,450.00	\$14,450.00	USD/mo	lease-001.pdf; rent-roll-revised.xlsx · E5
gross_potential_rent	\$1,401,900	\$1,404,600	USD/yr	revision-notice.pdf; rent-roll-revised.xlsx
uw_egi	\$1,334,605	\$1,337,170	USD/yr	computed
uw_tax	\$147,294	\$147,294	USD/yr	underwriting-instructions.pdf p.1 ¶3
uw_insurance	\$49,098	\$49,098	USD/yr	underwriting-instructions.pdf p.1 ¶3
uw_operating_expenses	\$432,822.15	\$432,899.10	USD/yr	computed (Δ mgmt only)
uw_noi	\$901,782.85	\$904,270.90	USD/yr	computed
uw_ncf	\$899,382.85	\$901,870.90	USD/yr	computed
sizing_rate	7.00%	7.75%	decimal	revision-notice.pdf p.1
cap_rate	6.2500%	6.5000%	decimal	revision-notice.pdf p.1
capitalization_value	\$14,428,525.60	\$13,911,860.00	USD	NOI ÷ cap_rate
ltv_limit	0.65	0.65	decimal	underwriting-instructions.pdf p.1 ¶4
dscr_limit	1.25	1.25	ratio	underwriting-instructions.pdf p.1 ¶4
debt_yield_limit	0.09	0.09	decimal	underwriting-instructions.pdf p.1 ¶4
maximum_loan	\$9,012,270	\$8,392,476	USD	MIN(LTV, DSCR, DY) — DSCR binding
net_cash_out	\$1,077,147	\$463,551	USD	loan – payoff – closing – origination
insurance_policy_limit	\$2,000,000	\$2,000,000	USD	insurance.pdf p.1
selected_roll_date	2026-08-31	2026-09-01	date	rent-roll-revised.xlsx · B2
reported_t12_noi	\$869,736	\$869,736	USD/yr	operating-statement.pdf
type_a_units / occupied	3 / 3	3 / 3	count	revised roll; A=Small
type_b_units / occupied	3 / 2	3 / 2	count	revised roll; B=Standard
type_c_units / occupied	2 / 2	2 / 2	count	revised roll; C=Large

Risk table — v1 vs v2

Risk id	v1 flag	v2 flag	Change note
risk_pending_in_occupancy	present	present	Manager headline conflict persists.
risk_near_term_rollover	absent	absent	All expirations 2029-08-31, still > 12 mo out.
risk_missing_insurance	absent	absent	Unchanged.
risk_capital_in_opex	absent	absent	Historical ledger unchanged.
risk_unsigned_rent_change	absent	absent	Revision delivered via signed manager roll.
risk_temporary_free_rent	absent	absent	Unchanged.
risk_sizing_floor_binding	present	present	Note 6.10% vs revised floor 7.75%; gap widened.
risk_refinance_shortfall	absent	absent	Cash-out reduced (\$1.08M → \$464K) but still positive.

Source register (v2)

Filename	Location	Field(s) cited	Note
revision-notice.pdf	p.1	sizing_rate, cap_rate, selected_roll	2026-09-01 revision instruction.
rent-roll-revised.xlsx	Rent Roll!B2, A5:G12	unit mix, occupancy, in-place rent, Size Roll	2026-09-01 revised roll effective 2026-09-01.
rent-roll-certified.xlsx	Rent Roll!B2	(prior)	2026-08-31 preserved in v1 audit archive.
rent-roll-archive.xlsx	Rent Roll!B2	(archive)	2026-06-30 stale — not used.
lease-001.pdf	p.1	unit_001_monthly_rent, risk_temporary_free_rent, risk_unsigned_rent_change	Executed and risk instructions to apply
lease-correspondence.pdf	p.1	risk_unsigned_rent_change	PM confirms no additional unsigned proposals.
insurance.pdf	p.1	insurance_policy_limit, risk_missing_insurance	Unchanged.
operating-statement.pdf	p.1 table	reported_t12_noi, risk_capital_in_opex	Unchanged.
manager-cover.pdf	p.1	group mapping (A/B/C), risk_pending_in_occupancy	Approved copy preserved verbatim.
underwriting-instructions.pdf	p.1	opex, mgmt %, reserves, LTV/DSCR, note rate payed, closing, GPR method	BA36, note rate payed.
diligence-status.pdf	p.1	(qualifications)	Routine pending; no findings of defect asserted.

Notice. Original fictional evaluation material; no real transaction. No external research or outreach was performed. v1 outputs (Falcon_Distribution_UW.xlsx / Falcon_Distribution_OM.pdf) are preserved unmodified in the audit archive. Approved copy preserved verbatim: "Source-backed analysis. Assumptions remain subject to diligence."